

Spot price (ST)

Spot price of an underlying asset is the price that is quoted for immediate delivery of the asset.

For example, at the NSE, the spot price of Reliance Ltd. at any given time is the price at which Reliance Ltd. shares are being traded at that time in the Cash Market Segment of the NSE. Spot price is also referred to as cash price sometimes.

Expiration date (T)

In the case of Futures, Forwards and Index Options, Expiration Date is the only date on which settlement takes place. In case of stock options, on the other hand, Expiration date (or simply expiry), is the last date on which the option can be exercised. It is also called the final settlement date.

What is 'SPAN Margin'

SPAN margin is short for standardized portfolio analysis of risk (SPAN). This is a leading margin system, which has been adopted by most options